

Spotify Discounted Cash Flow (DCF) Valuation

Overview

A Discounted Cash Flow (DCF) valuation was conducted to estimate Spotify's intrinsic value by forecasting future free cash flows and discounting them to their present value. The model assumes that Spotify will continue to benefit from growth in premium subscribers, increasing monetisation of advertising, and expansion into adjacent audio markets such as podcasts and audiobooks.

Key Assumptions

The valuation is based on a five-year forecast period. Revenue growth is expected to moderate gradually as Spotify matures while remaining above that of many established media companies. Free cash flow is assumed to increase each year as operating margins improve through greater pricing power, economies of scale, and higher advertising revenue.

A discount rate of **10%** was selected to reflect the risks associated with investing in a global technology company operating in a competitive industry. A perpetual growth rate of **3%** was used when calculating the terminal value, representing sustainable long-term growth broadly in line with global economic expansion.

Valuation Results

The DCF model indicates that Spotify has the potential to continue generating significant free cash flow over the coming years. Although the forecast cash flows contribute to the company's value, the terminal value represents the largest proportion of the overall valuation. This highlights that investors are primarily paying for Spotify's long-term ability to generate cash beyond the explicit forecast period.

Sensitivity Analysis

The valuation is highly sensitive to changes in the discount rate and terminal growth rate. A higher discount rate would reduce the present value of future cash flows, lowering the estimated company valuation. Conversely, stronger long-term growth assumptions would increase the terminal value and result in a higher valuation. This demonstrates the importance of carefully selecting realistic assumptions when performing a DCF analysis.

Risks

Several factors could negatively impact Spotify's future cash flows. Competition from Apple Music, Amazon Music and YouTube Music may limit subscriber growth and pricing power. Rising royalty payments to record labels could place pressure on operating margins, while weaker consumer spending may reduce premium

subscriptions or advertising demand. These risks could result in lower-than-expected cash flow generation and reduce the company's intrinsic value.

Conclusion

Based on the assumptions used in this model, Spotify appears capable of generating growing free cash flows while continuing to improve profitability. Although the valuation is sensitive to key assumptions, the company's market leadership, expanding ecosystem and improving financial performance support a positive long-term investment outlook. Future subscriber growth, advertising monetisation and disciplined cost management will be key drivers of shareholder value.